Thinking About Risk

To gain a perspective on bear markets, it might help to look at them in terms the academics have provided.

We've probably all heard about "beta." Professor William Sharpe, who shared the Nobel Prize for Economics in 1990, pioneered its invention as a way to measure the risk of stock portfolios. Risk is defined as volatility. Portfolio risk (beta) is the amount the portfolio will move in response to a market move. The Acorn Fund, for example, has a beta of about 0.9, which means if the stock market moves 20 percent in either direction, Acorn ought to move about 18 percent.

The concept of beta as a measure of risk and potential return—since the more risk you take, the more you should expect to make—has been under attack of late, but on the whole I think it is still a useful tool. It gives you an idea of how much you can expect the value of your portfolio to bounce around. If you won't need your money for twenty years, you might not care much, but if you think you might need it in two years, you'd better worry about the volatility of your portfolio. The easiest way to change the beta of a portfolio is by changing the ratio between cash and stocks, since cash has a beta of zero.

Sharpe also had a big hand in developing the Capital Asset Pricing Model, which says the expected return of a portfolio that tracks the market is the sum of two parts. The first is the "risk-free" rate, which is usually stated as the Treasury bill rate. The second is a "risk premium" that measures the amount of extra return investors expect in order to take the risk of owning stocks. The size of the risk premium, a measure of investors' confidence, or what Keynes called their "animal spirits," varies.

This concept gives us a way to measure bull and bear markets. In a bull market, people speculate on a rosy future, so they settle for a low risk premium, sometimes even a below-zero risk premium. After all, they reason, the market is bound to go up, so it's not really